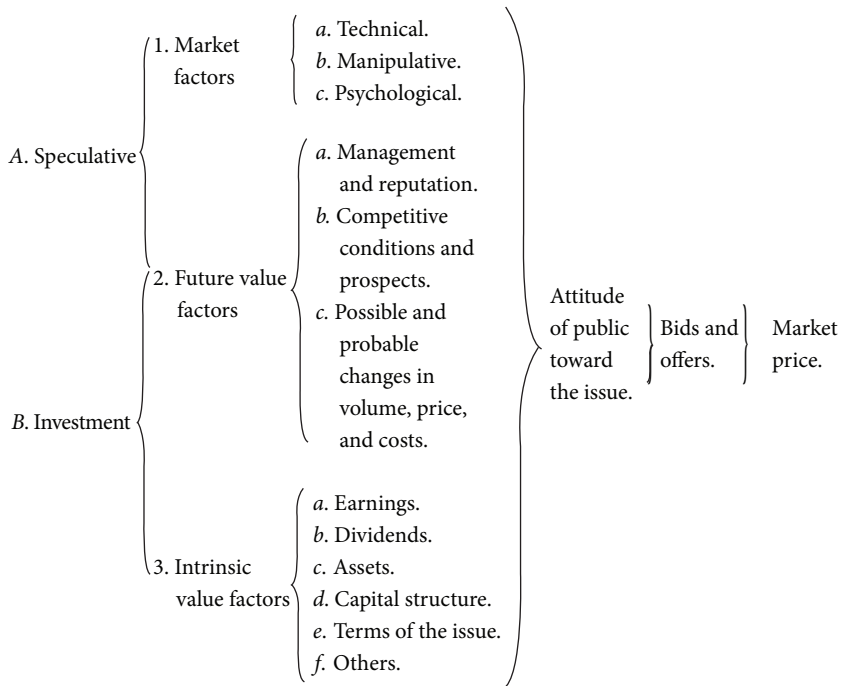


### Relationship of Intrinsic Value Factors to Market Price

I. *General market factors.*

II. *Individual factors.*



## ANALYSIS AND SPECULATION

It may be thought that sound analysis should produce successful results in any type of situation, including the confessedly speculative, *i.e.*, those subject to substantial uncertainty and risk. If the selection of speculative issues is based on expert study of the companies' position, should not this approach give the purchaser a considerable advantage? Admitting future events to be uncertain, could not the favorable and unfavorable developments be counted on to cancel out against each other, more or less, so that the initial advantage afforded by sound analysis will carry through into an eventual average profit? This is a plausible argument but a deceptive one; and its over-ready acceptance has done much to lead analysts astray. It is worth while, therefore, to detail several valid arguments against placing chief reliance upon analysis in speculative situations.